How can they coax so much money out of clients' pockets? They induce investors to levels of risk taking, transacting, spinning, leveraging, churning, and trading that are hallmarks of the financial industry. Of course, in any single transaction, you can look at the results. Some produce positive returns; some don't. But it is almost impossible for the amateur investor to know which transaction is a good one and which isn't. In most cases, Wall Street itself doesn't know. And hardly cares. It earns its money on transactions, not results.

Here's a simple rule: The more they want to sell you a financial product, the less you should want to buy it. In Paris, the best apartments never even show up in the realtors' windows. Instead, every one has a dozen admirers waiting for the owner to die. Buyers are usually friends or family with a special "in."

So it is in investing. The best deals are rarely presented to the public. They go to friends and family—the people who are "in the room" when the deal is done.

That's where you get the best assets at the lowest prices. The deals that end up in front of the public, however, are those that neither friends nor family wanted. When the insiders don't want an investment, watch out. But that's just what most investments are. They're the ones the really knowledgeable investors rejected. They are then sold to the public.

BORN THE DAY BEFORE YESTERDAY

We have a friend who came to us recently with an investment suggestion. Farmland in Brazil! Apparently, he said, you can make 20 percent on your money simply by buying productive land and renting it back to the local farmers.

But wait. How is that possible, we wanted to know? Why don't the local farmers buy it themselves? If they can make that kind of return, they should be able to get all the financing they need.